

SOP – Budget Planning & Month-End Close

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1. Purpose

This SOP describes how the Company plans its annual budget, how budget owners follow their spending during the year, and how the Finance team closes the books at the end of each month. It complements the reimbursement process of DOC-09 and the Finance Associate role of DOC-15 §4.

2. Scope

The SOP applies to every department budget and to every employee who owns a budget line. The month-end close applies to the Finance team at both offices.

3. Annual Budget Cycle

3.1 Timeline

- By 1 October: the Finance Manager sends the budget template and the planning assumptions (headcount, salary review, exchange rate) to department heads.
- By 15 October: each department head submits the department budget, split by month and by budget line.
- By 15 November: the Finance Manager consolidates the budgets and reviews them with each department head.
- By 30 November: the Chief Operating Officer approves the Company budget.
- By 10 December: approved budgets are loaded into the accounting system and shared with budget owners.

3.2 Content of a Department Budget

A department budget lists personnel costs, software subscriptions, training, travel, marketing spend, vendor services and equipment. Each line names a budget owner. Lines above 200,000,000 VND per year include a short justification and the expected result. Marketing budgets follow the annual marketing plan of DOC-22 §3.1.

4. Budget Monitoring [MANDATORY]

- The Finance Associate publishes the budget-versus-actual report for each department by the 5th business day of every month, after the month-end close.
- Budget owners review the report within 3 business days and explain every line where actual spend is more than 10 percent above the budget for the year to date.
- Department heads present the explanations in the monthly branch review (DOC-12 §5.2).
- A budget owner may move money between two lines of the same department budget up to 20,000,000 VND per quarter with the department head's approval. Larger moves need the Finance Manager's approval.

5. Spending Against Budget

- Spending must fit an approved budget line. A purchase without a budget line needs the Finance Manager's approval before the purchase order is raised.
- Purchase orders follow the procurement procedure of DOC-24 and the approval limits of DOC-12 §3.1. For the Đà Nẵng office, the exception of DOC-20 §9 applies.
- Expense claims follow DOC-09: submission within 15 calendar days, and claims of 5,000,000 VND or more need Branch Manager approval in addition to the direct manager (DOC-09 §3, §4).
- When a line is expected to be overspent by more than 10 percent, the budget owner requests a revision before spending more. The request states the reason, the amount and the line that will absorb it.
- Splitting a purchase into smaller orders to stay under an approval limit is not allowed and is handled under DOC-04 §6.

6. Month-End Close [MANDATORY]

6.1 Close Calendar

The close is performed during the last 3 business days of each month and is completed by the third business day of the following month (DOC-15 §4.4, §4.5). During the close period, planned annual leave is not available to the Finance team members involved (DOC-20 §5). Sick leave and statutory leave are never blocked.

6.2 Close Tasks

- Record all approved vendor invoices received by the last business day of the month.
- Record all expense claims verified by the Finance Associate.
- Complete the bank reconciliation of Section 7.
- Post accruals and prepayments according to Section 8.
- Compare revenue recognised with the contracts signed and the sessions delivered during the month (DOC-23 §11).
- Prepare the trial balance and hand it to the Finance Manager for review.

6.3 Cut-Off Rules

Invoices that arrive after the last business day of the month are recorded in the next month unless they are above 20,000,000 VND and relate to goods or services received during the month; those are accrued. Departments are informed of the cut-off date in the first week of each month.

7. Bank Reconciliation

- Every Company bank account is reconciled at each month end, matching each bank line to an entry in the accounting system.
- Differences that cannot be explained within the close period are listed with an owner and resolved within 10 business days.
- The reconciliation is prepared by the Finance Associate and reviewed and signed by the Finance Manager.
- Bank statements are downloaded only from the bank's official portal with multi-factor authentication (DOC-06 §2).

8. Accruals and Prepayments

- An accrual is recorded for goods or services received but not yet invoiced, based on the purchase order or the contract.
- A prepayment is recorded when the Company pays in advance for a service that covers several months, such as an annual software subscription, and is released month by month.
- Every accrual above 20,000,000 VND is listed with its supporting document and reversed in the following month.
- The accruals list is kept with the close file.

9. Supplier Payments

- Supplier payments are made in one weekly payment run on Thursday. Urgent payments outside the run need the Finance Manager's approval.
- A payment is made only when the invoice matches the approved purchase order and the delivery confirmation (DOC-24 §7).
- A change of supplier bank details follows DOC-15 §4.3: a call-back to a phone number already on file and a second approval by the Finance Manager. A change request received only by email is reported to IT Security within 1 hour as a possible phishing incident (DOC-06 §5).

10. Segregation of Duties [MANDATORY]

- The person who creates or changes a supplier in the accounting system does not approve payments to that supplier.
- The person who prepares the bank reconciliation does not approve it.
- A Finance Associate does not verify their own expense claims; these are verified by another member of the Finance team.
- Access to payment and reimbursement data is limited to the Finance team (DOC-05 §4).

11. Records

Accounting documents, close files and reconciliations are kept for 10 years, as required by the Law on Accounting. Receipt images that contain personal payment data follow the retention rules of DOC-05 §5 (DOC-09 §7).

12. Optional Practice [OPTIONAL]

Budget owners are encouraged to review their lines every two weeks during the last quarter of the year, when most annual contracts are renewed.

13. Cross-References

- Reimbursement rules: DOC-09 §3–§7
- Finance Associate duties and month-end close: DOC-15 §4
- Purchase approval limits: DOC-12 §3.1; Đà Nẵng exception: DOC-20 §9
- Finance month-end leave blackout: DOC-20 §5
- Procurement and invoice matching: DOC-24
- Marketing plan: DOC-22 §3.1; delivery figures: DOC-23 §11
- Access control and incident reporting: DOC-05 §4, DOC-06 §2, §5